

Professional Online Academy Vu Topper RM



ACC501-Business Finance Update MCQ'S Final Term By Vu Topper RM



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Question No:1**(Marks:1)****Vu-Topper RM**

A model which makes an assumption about the future growth of dividends is known as:

- A. Dividend Policy Model
- B. Dividend Price Model
- C. All of the given options
- D. Dividend Growth Model**

Question No:2**(Marks:1)****Vu-Topper RM**

Which of the following is NOT included in a bond indenture?

- A. The basic terms of bond issue
- B. A personal profile of the issuer**
- C. The total amount of bonds issued
- D. A description of the security

Question No:3**(Marks:1)****Vu-Topper RM**

SNT Corporation has policy of paying a Rs. 6 per share dividend every year. If this policy is to continue indefinitely, what will be the value of a share of stock at a 15% required rate of return?

- A. Rs. 40**
- B. Rs. 60
- C. Rs. 30
- D. Rs. 50

Question No:4**(Marks:1)****Vu-Topper RM**

An investment plan is acceptable if its NPV is:

- A. Greater than ZERO**
- B. All of the above
- C. Equal to ZERO
- D. Less than ZERO

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Question No:5

(Marks:1)

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Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

- A. Call provision**
- B. Repayment
- C. Seniority
- D. Protective covenants

Question No:6

(Marks:1)

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Which one of the following securities is considered as equity security?

- A. Bonds
- B. Notes
- C. Shares**
- D. Debentures

Question No:7

(Marks:1)

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Which of the following statement is TRUE regarding debt?

- A. Debt is an ownership interest in the firm.
- B. Debt provides the voting rights to the bondholders.
- C. Corporation's payment of interest on debt is fully taxable.
- D. Unpaid debt can result in bankruptcy or financial failure.**

Question No:8

(Marks:1)

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While calculating the present value of bond, which of the following rate is used for discounting purpose?

- A. Coupon Rate
- B. You can use either coupon rate or market rate
- C. Use that rate which is lower of both (coupon and market rate)
- D. Market required rate**

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Question No:9

(Marks:1)

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Which of the following has the voting right in the firm?

- A. Preferred shareholder
- B. Shareholder**
- C. Bondholder
- D. All of the given options

Question No:10

(Marks:1)

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Which of the following is the credit rating agency in Pakistan?

- A. Moody's
- B. PACRA**
- C. Standard and Poor's
- D. All of the given options

Question No:11

(Marks:1)

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Which of the following is the expected rate of return on a bond if bought at its current market price and held to maturity

- A. Capital Gains Yield
- B. Yield To Maturity**
- C. Current Yield
- D. Coupon Yield

Question No:12

(Marks:1)

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Investors demand a higher yield as compensation to the risk of possible default. This extra premium is called:

- A. Taxability premium
- B. Interest rate risk premium
- C. Inflation risk premium
- D. Default risk premium**

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Question No:13

(Marks:1)

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Payment of interest on debt securities is fully tax deductible item because:

- A. Fixed nature cost
- B. It's a cost of doing business**
- C. Debt is not owner's money
- D. Paid out of profit

Question No:14

(Marks:1)

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Bond value may fluctuate with the change in _____.

- A. Interest rate**
- B. Inflation
- C. GDP
- D. Coupon value

Question No:15

(Marks:1)

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If the dividend for a share is growing at a steady rate then which of the following formula(s) can be used to find the dividend in two periods?

- A. $D_2 = [D_0 \times (1 + g)] (1 + g)$
- B. All of the given options
- C. $D_2 = D_0 \times (1 + g)^2$**
- D. $D_2 = D_1 \times (1 + g)$

Question No:16

(Marks:1)

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What will be the value of a Rs. 1,000 face-value bond with an 8% coupon rate at 10% required rate of return?

- A. Cannot be determined without more information**
- B. Less than its face value
- C. More than its face value
- D. Equal to its face value

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Question No:17

(Marks:1)

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Which one of the following terms refers to a percentage change in the purchasing power of the investor?

A. The inflation rate

B. Un-adjusted inflation return

C. Real return

D. Nominal return

Question No:18

(Marks:1)

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As the dividend is always same for a zero growth stock, so the stock can also be viewed as:

A. Ordinary perpetuity

B. None of the given options

C. Ordinary Annuity

D. Annuity Due

Question No:19

(Marks:1)

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Which one of the following statements is INCORRECT regarding a broker?

A. An agent who buy and sell securities from a maintained inventory

B. An agent who do not buy or sell securities for their own

C. Matching investors wishing to buy and sell securities

D. An agent who arranges security transactions among investors

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